

Negotiating with Credit Card Companies

Credit card companies will often lower your interest rate if you simply ask. Call the company and tell them that you've received credit card offers with lower rates and ask if they can lower your rate so you don't have to switch. If you've been a good customer and have been with the company awhile, you stand a good chance of getting your rate reduced.

High Risk Equals High Rate

Once you start getting black marks on your account, your lender is likely to raise your rate sharply to offset the risk that you might not repay your balance. On the other hand, lenders want you to pay your debts and are sometimes willing to lower your interest rate or waive fees if they believe you're serious about getting caught up. It doesn't hurt to ask. If you get "no" for an answer, call back and ask again. Sometimes getting a different customer service representative can make a difference.

Prioritize Your Bills

Some payments are more important than others. For example, it's important to keep your house, as well as to get to work so that you can earn some money. If your situation is so dire that you can't pay all your bills, prioritize your debts and expenses and pay the most important ones first, in this order:

- Mortgage or rent
- Car loan and auto insurance
- Other insurance (homeowner's, health)
- Utilities
- Loans (banks, student loans, finance companies)
- Credit cards
- Miscellaneous